Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The Consolidated Financial Statements and related information in the annual report are the responsibility of management. The Consolidated Financial Statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the Consolidated Financial Statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's Consolidated Financial Statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the Consolidated Financial Statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



Richard A. Lan
President and
Chief Executive Officer
February 23, 2009



Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2008 and 2007 and the consolidated statements of earnings, comprehensive income, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2008 and 2007 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants,
Licensed Public Accountants
Toronto, Canada
February 23, 2009

Consolidated Balance Sheets

As at December 31, (In thousands of Canadian dollars)	2008	2007
ASSETS		
CURRENT ASSETS:		
Cash and cash equivalents	$ 11,721	$ 2,847
Accounts receivable (Note 3)	57,079	68,464
Due from Maple Leaf Foods Inc.	54	–
Inventories (Note 4)	58,696	47,036
Future tax asset – current (Note 16)	5,388	5,937
Prepaid expenses and other receivables	12,923	4,798
Other current assets	–	80,586
	$ 145,861	$ 209,668
Property and equipment (Note 5)	417,150	396,623
Goodwill	404,484	371,066
Other long-term assets (Note 6)	9,964	7,955
Other intangible assets (Note 7)	17,451	12,870
	$ 994,910	$ 998,182
LIABILITIES AND SHAREHOLDERS' EQUITY		
CURRENT LIABILITIES:		
Bank indebtedness	$ 8,894	$ 9,845
Accounts payable and accrued charges	207,928	177,695
Due to Maple Leaf Foods Inc.	–	5,408
Dividends payable	1,525	1,525
Income and other taxes payable	10,860	15,078
Current portion of long-term debt (Note 8)	41	107,644
	$ 229,248	$ 317,195
Long-term debt (Note 8)	4,477	5
Future tax liability – non-current (Note 16)	36,043	33,522
Other long-term liabilities (Note 10)	16,802	12,417
Shareholders' equity (Note 11)	708,340	635,043
	$ 994,910	$ 998,182

Contingencies and commitments (Note 20)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



Richard A. Lan
Director



William E. Aziz
Director

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts)
Years ended December 31,

	2008	2007
Sales	$ 1,708,330	$ 1,513,179
Cost of goods sold	1,411,729	1,194,337
Gross margin	$ 296,601	$ 318,842
Selling, general and administrative expenses	198,969	189,388
Earnings from operations before the following:	$ 97,632	$ 129,454
Restructuring and other related costs (Note 13)	(10,492)	(4,619)
Other income (Note 14)	14,702	581
Earnings before interest and income taxes	$ 101,842	$ 125,416
Interest expense (Note 15)	7,843	5,618
Earnings before income taxes	$ 93,999	$ 119,798
Income taxes (Note 16)	29,063	36,047
Net earnings	$ 64,936	$ 83,751
Earnings per share – basic (Note 22)	$ 2.55	$ 3.30
Earnings per share – diluted (Note 22)	$ 2.55	$ 3.30
Weighted average number of shares (millions)	25.4	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars)
Years ended December 31,

	2008	2007
Net earnings	$ 64,936	$ 83,751
Other comprehensive income (loss) (Note 12)		
Change in accumulated foreign currency translation adjustment	20,161	(29,290)
Change in unrealized derivative loss on cash flow hedges	(5,700)	(1,543)
	$ 14,461	$ (30,833)
Comprehensive income	$ 79,397	$ 52,918

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Retained Earnings

(In thousands of Canadian dollars)
Years ended December 31,

	2008	2007
Retained earnings, beginning of year	$ 528,327	$ 450,733
Net earnings	64,936	83,751
Dividends declared ($0.24 per share; 2007: $0.24 per share)	(6,100)	(6,100)
Inter-company acquisitions (Note 19)	–	(57)
Retained earnings, end of year	$ 587,163	$ 528,327

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) Years ended December 31,	2008	2007
CASH PROVIDED BY (USED IN):		
OPERATING ACTIVITIES		
Net earnings	**$ 64,936**	$ 83,751
Add (deduct) items not affecting cash:		
Depreciation and amortization	**55,425**	49,612
Future income taxes	**3,605**	4,374
Loss (gain) on sale of property and equipment	**103**	(515)
Other	**1,419**	(1,369)
Asset impairments and change in provision for restructuring and other related costs	**4,037**	2,002
Change in non-cash operating working capital	**7,910**	(15,740)
Cash provided by operating activities	**$ 137,435**	$ 122,115
FINANCING ACTIVITIES		
Dividends paid	**(6,100)**	(6,100)
Increase in long-term debt	**–**	20,831
Decrease in long-term debt	**(103,132)**	(67)
Settlement of cross-currency interest rate swap with Maple Leaf Foods Inc.	**80,586**	–
Cash provided by (used in) financing activities	**$ (28,646)**	$ 14,664
INVESTING ACTIVITIES		
Additions to property and equipment	**(54,170)**	(85,729)
Proceeds from sale of property and equipment	**512**	922
Acquisition of businesses, net of cash acquired (Note 19)	**(44,827)**	(48,865)
Change in intangible assets	**(479)**	155
Cash used in investing activities	**$ (98,964)**	$ (133,517)
Increase in cash and cash equivalents	**9,825**	3,262
Net cash and cash equivalents, beginning of year	**(6,998)**	(10,260)
Net cash and cash equivalents, end of year	**$ 2,827**	$ (6,998)

See accompanying Notes to the Consolidated Financial Statements

Notes to the Consolidated Financial Statements

Years ended December 31, 2008 and 2007
(Tabular amounts in thousands of Canadian dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 89.8% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2008.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company which are in accordance with Canadian Generally Accepted Accounting Principles.

(A) PRINCIPLES OF CONSOLIDATION

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for at cost or at fair value depending on whether such investments are publicly traded.

(B) USE OF ESTIMATES

The preparation of periodic financial statements necessarily involves the use of estimates. Estimates are used when accounting for items and matters such as allowances for uncollectible accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other related costs and contingencies. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(C) TRANSLATION OF FOREIGN CURRENCIES

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year-end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Exchange gains or losses on translation of foreign subsidiaries are included in the other comprehensive income, a component of shareholders' equity until realized.

(D) REVENUE RECOGNITION

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as a reduction of revenue. Sales incentives include various rebate and promotional programs provided to the Company's customers. The rebates are primarily based on achievement of specified volume or growth in volume levels.

(E) FINANCIAL INSTRUMENTS

The Company's financial assets and financial liabilities are classified as held for trading, available-for-sale financial assets, held-to-maturity investments, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments are measured at fair value with changes in fair value recognized in net earnings in the period in which they arise. Available-for-sale financial assets are measured at fair value with changes in fair value recognized in other comprehensive income in the period in which they arise. Loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

(F) HEDGE ACCOUNTING

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded in other comprehensive income, to the extent it is effective, until the hedged item affects the consolidated statement of earnings. The Company uses cash flow hedges to mitigate the risk from variable cash flows associated with forecasted foreign currency denominated cash flows.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statement of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument, to the extent effective, is recorded directly in other comprehensive income. These amounts are recognized in income when the corresponding cumulative translation adjustments from self-sustaining foreign operations are recognized in income.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statement of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in earnings as the hedged item affects earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through earnings without any offset from the hedged item.

Changes in the fair value of derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheet, and subsequent changes in their fair value are recorded in the consolidated statement of earnings.

(G) INVENTORIES

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(H) IMPAIRMENT OR DISPOSAL OF LONG-LIVED ASSETS

The Company reviews long-lived assets or asset groups held and used including property and equipment and intangible assets subject to amortization for recoverability whenever events or changes in circumstances indicates that their carrying amount may not be recoverable. Recoverability of assets to be held and used is measured by comparing the carrying amount of the asset to the sum of the undiscounted cash flows expected to result from the use and eventual disposal of the asset or asset group. An impairment loss is recognized when the carrying amount is not recoverable and exceeds the fair value of the asset or asset group. Long-lived assets are classified as held for sale when certain criteria are met and the sale is expected to be completed within one year. These assets to be disposed of are separately presented in the balance sheet and reported at the lower of the carrying amount or fair value less costs to sell, and are no longer depreciated.

Notes to the Consolidated Financial Statements

(I) PROPERTY AND EQUIPMENT

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Construction in process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2.5% to 6%
Machinery and equipment	10% to 33%

(J) FINANCING COSTS

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and the amount amortized is included in interest expense for the year.

(K) GOODWILL AND OTHER INTANGIBLES

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands, customer relationships and delivery routes.

Definite life intangibles are amortized over their estimated useful lives. Goodwill is not amortized and is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of a reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. Indefinite life intangibles are tested for impairment annually in the fourth quarter and, as required, if events occur that indicate it is more likely than not the carrying value has been impaired. The impairment tests for indefinite life intangible assets and goodwill were performed in 2008 and 2007 and no impairments were identified.

(L) INCOME TAXES

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date. A valuation allowance is recognized against future tax assets when it is more likely than not that all or some part of the asset will not be realized.

(M) EMPLOYEE BENEFIT PLANS

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the fair value of assets at the beginning of the year and all gains and losses due to changes in plan provisions are amortized on a straight-line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(N) STATEMENT OF CASH FLOWS

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(O) ACCOUNTING CHANGES

(i) In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with International Financial Reporting Standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

(ii) In October 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation", which replace Section 3861, "Financial Instruments – Disclosure and Presentation". The new standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 9.

(iii) In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 9.

(iv) Effective January 1, 2007 the Company adopted new financial instrument accounting standards that were issued by the CICA, including Handbook Section 1530, "Comprehensive Income", Handbook Section 3855, "Financial Instruments – Recognition and Measurement", and Handbook Section 3865, "Hedges".

The following table summarizes the adjustments required to adopt the new standards on January 1, 2007:

Increase in other current assets	$	3,369
Increase in future tax asset – long-term		85
Increase in other long-term liabilities		(3,616)
Accumulated other comprehensive loss – cash flow hedges		162

(P) RECENT ACCOUNTING PRONOUNCEMENTS

In 2008, the CICA issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. This new standard is effective for the Company's interim and annual consolidated financial statements commencing January 1, 2009. The Company does not expect the adoption of the new standard will have a material impact on its financial statements.

In January 2009, the CICA issued Handbook Section 1582, "Business Combinations" ("CICA 1582"). CICA 1582 requires that all assets and liabilities of an acquired business will be recorded at fair value at acquisition. Obligations for contingent considerations and contingencies will also be recorded at fair value at the acquisition date. The standard also states that acquisition-related costs will be expensed as incurred and that restructuring charges will be expensed in the periods after the acquisition date. The Section applies prospectively to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period on or after January 1, 2011. The Company is currently assessing the impact of the new standard on its financial statements.

In January 2009, the CICA issued Handbook Section 1601, "Consolidations" ("CICA 1601"), and Section 1602, "Non-controlling Interests" ("CICA 1602"). CICA 1601 establishes standards for the preparation of consolidated financial statements. CICA 1602 establishes standards for accounting for a non-controlling interest in a subsidiary in consolidated financial statements subsequent to a business combination. These standards apply to interim and annual consolidated financial statements relating to fiscal years beginning on or after January 1, 2011. The Company is currently assessing the impact of the new standard on its financial statements.

Notes to the Consolidated Financial Statements

In January 2009, the CICA issued EIC Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities". The EIC requires the Company to take into account the Company's own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The Company is currently assessing the impact of the new standard on its financial statements.

(Q) COMPARATIVE FIGURES

Certain 2007 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2008.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2008, trade accounts receivable being serviced under this program amounted to $70.0 million (2007: $70.0 million).

4. INVENTORIES

	2008	2007
Raw materials	$ 16,182	$ 12,708
Finished goods	20,304	13,978
Packaging	8,804	8,611
Spare parts	13,406	11,739
	$ 58,696	$ 47,036

5. PROPERTY AND EQUIPMENT

	2008	2007
Land	$ 26,878	$ 25,295
Buildings	180,023	159,574
Machinery and equipment	544,360	489,993
Construction in progress	46,785	48,452
	798,046	723,314
Less: Accumulated depreciation	380,896	326,691
	$ 417,150	$ 396,623

6. OTHER LONG-TERM ASSETS

	2008	2007
Deferred pension asset (Note 17)	$ 9,684	$ 7,490
Other assets	280	465
	$ 9,964	$ 7,955

7. OTHER INTANGIBLE ASSETS

	2008	2007
Customer relationships	$ 12,478	$ 8,424
Other	4,973	4,446
	$ 17,451	$ 12,870

8. LONG-TERM DEBT

	2008	2007
Due to Maple Leaf (a)	$ 4,446	$ 107,464
Obligations under capital leases	72	185
	4,518	107,649
Less: Current portion	41	107,644
	$ 4,477	$ 5

(a) Canada Bread has a $250.0 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on December 27, 2011. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Net interest under these facilities with Maple Leaf was $4.4 million in 2008 (2007: $1.2 million).

(b) In 2006, the Company established an operating line of credit of £5.0 million ($8.9 million) to provide short-term funding for its U.K. operations. The facility has interest based on Libor rates. As of December 31, 2008, £5.0 million ($8.9 million); (2007: £5.0 million; $9.8 million) was outstanding and has been classified as bank indebtedness.

(c) The Company has demand operating facilities of $22.2 million (2007: $20.0 million), which bear interest at short-term rates. At December 31, 2008, $6.0 million (2007: $8.4 million) was utilized under these facilities.

(d) The Company has a demand letter of credit facility of $10.0 million (2007: $10.0 million) of which $8.5 million as at December 31, 2008, (2007: $8.8 million) was utilized.

(e) The Company's weighted average cost of borrowing for 2008 was 5.3% (2007: 4.8%), after adjusting for payments made under swap contracts in place.

Required repayments of long-term debt are as follows:

2009	$ 41
2010	25
2011	4,452
	$ 4,518

9. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

CAPITAL

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. The Company has established financial objectives including targets for return on net assets (11.5%) and compound annual earnings per share growth (15.0%). In allocating capital to investments to support these goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company maintains its primary credit ratios and leverage at levels that provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, income taxes, depreciation, amortization and restructuring and other related costs as well as earnings before interest, income taxes, depreciation, amortization and restructuring and other related costs to interest expense. The Company's primary credit facility with Maple Leaf was amended on September 2, 2008 to extend the final maturity date to December 27, 2011 and to adjust pricing to reflect increases in market prices for similar loans. This revolving credit facility, which provides for available credit of up to $250.0 million is unsecured and is subject to certain financial covenants. As at December 31, 2008, the Company was in compliance with all of these covenants.

Notes to the Consolidated Financial Statements

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a stable dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2008, total equity increased by $73.3 million to $708.3 million. During the same period, total debt net of cash, cash equivalents and currency swaps decreased by $32.4 million to $1.7 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held for trading
Accounts receivable	Loans and receivables
Due to/from Maple Leaf Foods	Loans and receivables
Other receivables	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments	Held for trading[(i)]

(i) The Company has derivative instruments, from time to time, that are classified as held for trading. These derivatives may be designated as cash flow hedges or as fair value hedges as appropriate.

Financial assets and liabilities designated as held for trading and all derivative financial instruments are recorded at fair value.

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. The carrying value of long-term debt as at December 31, 2008 is $4.5 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. Days sales outstanding for the year is consistent with historic trends. There are no significant impaired receivables that have not been provided for in the allowance for uncollectible accounts. As at December 31, 2008, the Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three

largest customers comprise approximately 27.6% of consolidated accounts receivable at December 31, 2008 and the two largest customers comprise approximately 30.9% of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

LIQUIDITY RISK

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	As at December 31, 2008				
	Due within 1 year	Due between 1 and 2 years	Due between 2 and 3 years	Due after 3 years	**Total**
Non-derivative financial liabilities					
Bank indebtedness	$ 8,894	$ –	$ –	$ –	**$ 8,894**
Accounts payable and accrued charges	207,928	–	–	–	**207,928**
Dividends payable	1,525	–	–	–	**1,525**
Long-term debt	41	25	4,452	–	**4,518**
Total	**$ 218,388**	**$ 25**	**$ 4,452**	**$ –**	**$ 222,865**

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2008, the Company had available undrawn committed credit of $245.6 million under the terms of its principal credit facility with Maple Leaf.

MARKET RISK

INTEREST RATE RISK

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed-rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. In addition, the Company's cash balances are typically invested in short-term interest bearing assets.

At December 31, 2008, the Company had variable rate debt of $13.4 million with a weighted average interest rate of 5.5%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2008, the amount sold pursuant to these programs was $70.0 million at a weighted average interest rate of 3.1%.

With respect to interest rate, foreign currency and commodity price market risk, sensitivity analyses discussing the effects of reasonably possible changes in relevant risk variables on net earnings and other comprehensive income on an after-tax basis are disclosed below. The periodic effects are determined by relating the reasonably possible changes in the risk variables to the balance of financial instruments at the reporting date.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

Notes to the Consolidated Financial Statements

The Company uses interest rate swaps to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed-rate borrowings. The notional amounts of these swaps, which are designated and accounted for as cash flow hedges, totalled $70.0 million at December 31, 2008 (2007: $70.0 million) with maturity dates ranging from June 2011 to June 2014. The fixed-rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three-month bankers' acceptance rates. These swaps had a fair value of negative $10.2 million at December 31, 2008 (2007: fair value of negative $2.6 million) of which $2.8 million is recorded in accounts payable and accrued charges and $7.4 million in other long-term liabilities at December 31, 2008.

As at December 31, 2008, 83.9% (2007: 37.3%) of the Company's outstanding debt and revolving accounts receivable securitization program was not exposed to interest rate movements.

FOREIGN EXCHANGE RISK

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges. As at December 31, 2008, the Company did not have any foreign currency forward contracts designated in formal hedging relationships and there were foreign exchange forward contracts outstanding with a negative fair value of $0.2 million.

It is estimated that, all else constant, a hypothetical positive/negative 10.0% change in the value of the Canadian dollar against all relevant currencies would not materially impact net earnings.

COMMODITY PRICE RISK

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The Company applies the normal purchase and sales classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The fair values and notional amounts of derivative financial instruments by hedge type are shown below:

	2008			2007		
	Notional Amount	Fair Value		Notional Amount	Fair Value	
		Asset	Liability		Asset	Liability
CASH FLOW HEDGES						
Interest rate swaps	**$70,000**	**$ –**	**$ 10,219**	$70,000	$ –	$ 2,598
Cross-currency interest rate swap	**–**	**–**	**–**	US$140,000	80,586	–
DERIVATIVES NOT DESIGNATED IN A FORMAL HEDGING RELATIONSHIP						
Foreign exchange forward contracts[(i)]	**$20,987**	**$ –**	**$ 153**	$9,690	$ –	$ 202
Total		**$ –**	**$ 10,372**		$ 80,586	$ 2,800
Current		**$ –**	**$ 2,977**		$ 80,586	$ 419
Non-current		**–**	**7,395**		–	2,381
Total		**$ –**	**$ 10,372**		$ 80,586	$ 2,800

(i) Notional amounts are stated at the contractual Canadian dollar equivalent.

For the years ended December 31, 2008 and 2007, the amount of hedge ineffectiveness recognized in earnings was not material.

10. OTHER LONG-TERM LIABILITIES

	2008	2007
Post-retirement benefit liability (Note 17)	**$ 2,988**	$ 3,065
Pension liability (Note 17)	**3,887**	4,175
Other	**9,927**	5,177
	$ 16,802	$ 12,417

11. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2008	2007
Share capital (25,416,812 common shares (2007: 25,416,812 common shares))	**$ 142,965**	$ 142,965
Retained earnings	**587,163**	528,327
Accumulated other comprehensive loss (Note 12)	**(21,788)**	(36,249)
	$ 708,340	$ 635,043

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2008 there were no issued and outstanding preference shares.

12. ACCUMULATED OTHER COMPREHENSIVE LOSS

Accumulated other comprehensive loss consists of the following:

	2008	2007
Balance at the beginning of the year	**$ (36,249)**	$ (5,254)
Transition adjustment as at January 1, 2007 (Note 2(o))	**–**	(162)
Adjusted balance at the beginning of the year	**$ (36,249)**	$ (5,416)
Change in accumulated foreign currency translation adjustment[(i)]	**20,161**	(29,290)
Change in unrealized derivative loss on cash flow hedges – net[(ii)]	**(5,700)**	(1,543)
Other comprehensive income (loss) for the year	**$ 14,461**	$ (30,833)
Accumulated other comprehensive loss as at December 31	**$ (21,788)**	$ (36,249)

(i) Balance at the beginning of the current year is net of tax of $nil million. The change in accumulated foreign currency translation adjustment is net of taxes of $nil for the 12 months ended December 31, 2008 (2007: $nil).
(ii) Change in unrealized derivative loss on cash flow hedges is net of tax of $1.9 million for the 12 months ended December 31, 2008 (2007: $1.0 million).

The Company estimates that $2.0 million of net derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year, a loss of approximately $0.7 million (net of tax of $0.3 million) was released to income from accumulated other comprehensive loss, which is included in the net change for the year.

The ending balance of accumulated other comprehensive loss comprises accumulated unrealized foreign currency translation losses of $14.4 million, net of taxes of $nil (2007: $34.5 million, net of taxes of $nil) and unrealized derivative loss on cash flow hedges of $7.4 million, net of taxes of $2.8 million (2007: $1.7 million, net of taxes of $0.9 million).

Notes to the Consolidated Financial Statements

13. RESTRUCTURING AND OTHER RELATED COSTS

During 2008, the Company recorded restructuring and other related costs of $10.5 million ($8.1 million after-tax). The majority of these costs related to the closure of a bagel facility in Toronto, Ontario, and the closure of two facilities in the United Kingdom.

In 2007, the Company recorded restructuring and other related costs of $4.6 million ($3.2 million after-tax) relating primarily to the closure of a fresh bakery plant in British Columbia and the closure of a bagel facility in Toronto, Ontario. Also included were lease termination costs related to the winding down of the fresh waffle business in Ontario. In 2006, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after-tax).

The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in 2008, 2007 and 2006 as well as the related liability:

	Severance	Site closing	Asset Impairment and accelerated depreciation	Retention	**Total**
Balance at December 31, 2006	$ 2,525	$ 1,361	$ –	$ –	**$ 3,886**
Charges during the year	939	1,127	2,490	63	**4,619**
Cash payments	(642)	(1,679)	–	(8)	**(2,329)**
Non-cash items	–	–	(2,490)	–	**(2,490)**
Balance at December 31, 2007	$ 2,822	$ 809	$ –	$ 55	**$ 3,686**
Charges	979	5,070	4,443	–	**10,492**
Cash payments	(2,664)	(2,923)	–	(55)	**(5,642)**
Non-cash items	–	–	(4,443)	–	**(4,443)**
Balance at December 31, 2008	**$ 1,137**	**$ 2,956**	**$ –**	**$ 137**	**$ 4,093**

14. OTHER INCOME

	2008	2007
Recovery from insurance claim[(i)]	**$ 14,746**	$ –
Gain (loss) on sale of property and equipment	**(103)**	515
Other	**59**	66
	$ 14,702	$ 581

(i) In 2008, the Company received an insurance settlement of approximately $14.7 million to cover business interruption losses resulting from a fire at its bagel plant in the United Kingdom.

15. INTEREST EXPENSE

	2008	2007
Interest expense on securitized receivables (Note 3)	**$ 2,718**	$ 3,494
Interest expense on long-term debt (Note 8)	**4,421**	1,185
Other interest expense	**704**	939
	$ 7,843	$ 5,618

16. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2008	2007
Income tax expense according to combined statutory rate of 32.0% (2007: 33.4%)	**$ 30,109**	$ 39,993
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	**(551)**	(949)
Rate difference in foreign jurisdictions	**(3,074)**	(3,942)
Non-taxable gains	**(123)**	(73)
Non-taxable foreign currency gains	**(430)**	–
Valuation allowance – U.S. tax losses	**3,540**	5,704
Future tax rate changes	**(726)**	(2,762)
Other	**318**	(1,924)
	$ 29,063	$ 36,047

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2008	2007
Future tax assets:		
Accrued assets	**$ 2,450**	$ 1,170
Investment in foreign subsidiary	**–**	13,028
Losses carry forward	**41,951**	27,138
Other	**4,418**	1,775
Valuation allowance	**(38,893)**	(27,138)
	$ 9,926	$ 15,973
Future tax liabilities:		
Plant and equipment – differences in net book value and undepreciated capital cost	$ 20,151	$ 19,158
Derivative financial instrument	–	13,028
Goodwill	13,325	10,427
Other	7,105	945
	$ 40,581	$ 43,558
Classified in the consolidated financial statements as:		
Future tax asset – current	$ 5,388	$ 5,937
Future tax liability – non-current	(36,043)	(33,522)
Net future tax liability	$ (30,655)	$ (27,585)

In accordance with CICA Handbook Section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. frozen bakery business, there continues to be sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, during the year the Company recorded an additional valuation allowance of US$3.5 million ($3.8 million) (2007: US$5.4 million ($5.7 million)) against current year U.S. tax losses and a valuation allowance has been recorded for all the accumulated tax losses in the U.S.

Notes to the Consolidated Financial Statements

17. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows:

	2008	2007
Accrued benefit obligation:		
Balance, beginning of year	**$ 128,093**	$ 131,133
Current service cost	**3,268**	4,003
Interest cost	**6,715**	6,669
Benefits paid	**(7,254)**	(8,055)
Actuarial gains	**(19,695)**	(9,160)
Employee contributions	**956**	973
Plan amendments	**–**	2,530
Special termination benefits	**300**	–
Curtailments	**362**	–
Balance, end of year	**$ 112,745**	$ 128,093
Plan assets:		
Fair value, beginning of year	**$ 106,618**	$ 109,449
Actual return on plan assets	**(16,261)**	(641)
Employer contributions	**5,741**	4,892
Employee contributions	**956**	973
Benefits paid	**(7,254)**	(8,055)
Fair value, end of year	**$ 89,800**	$ 106,618
Funded status – plan deficit	**$ (22,945)**	$ (21,475)
Unamortized transitional amount	**(5,112)**	(5,890)
Unamortized actuarial losses	**30,556**	26,995
Unamortized prior service costs	**2,856**	3,255
Net accrued benefit asset, end of year[(i)]	**$ 5,355**	$ 2,885

(i) Includes one defined benefit plan with an accrued benefit liability of $4.3 million (2007:$4.6 million).

Amounts recognized in the consolidated balance sheet consist of:

	2008	2007
Other long-term assets	**$ 9,684**	$ 7,490
Accounts payable and accrued charges	**442**	430
Other long-term liabilities	**3,887**	4,175

The pension assets are invested in the following asset categories at December 31:

	2008	2007
Equity securities	**54%**	62%
Debt securities	**46%**	38%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2008	2007
Discount rate used to calculate net benefit plan expense	**5.25%**	5.00%
Discount rate used to calculate year end accrued benefit obligation	**6.50%**	5.25%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**3.50%**	3.50%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2008	2007
Current service cost – defined contribution plans	**$ 7,633**	$ 7,412
Current service cost – defined benefit plans	**3,268**	4,003
Interest cost	**6,715**	6,669
Actual return on plan assets	**16,261**	641
Difference between actual and expected return on assets	**(24,164)**	(8,731)
Actuarial gain recognized	**(19,695)**	(9,160)
Difference between actual and recognized actuarial losses in the year	**20,603**	10,155
Amortization of transitional amount	**(778)**	(778)
Difference between prior service costs and actual plan amendments in the year	**249**	(2,324)
Plan amendments	**–**	2,530
Curtailment loss	**512**	–
Special termination benefits	**300**	–
Net benefit plan expense	**$ 10,904**	$ 10,417

Measurement dates for defined benefit plan obligations and expense:

2008 Expense	December 31, 2007
Balance Sheet	December 31, 2008

In addition, the Company has accrued and included in other long-term liabilities $3.0 million (2007: $3.1 million) in respect of post-retirement benefit obligations. A one percentage change in health care cost trend would not have significant impact on the year-end obligation or the 2008 current service cost and interest costs.

18. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services including; treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management time for operating involvement, M&A transactions, information system services, engineering services, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2008 for these services were $30.3 million (2007: $25.3 million).

Maple Leaf is the counter party to the Company's non-exchange traded derivatives (Note 9). On January 2, 2008 Maple Leaf paid $80.6 million to the Company to settle its obligations under a cross-currency interest rate swap at maturity, which had been classified as other current assets as at December 31, 2007.

Notes to the Consolidated Financial Statements

19. ACQUISITIONS

2008

(a) On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for a purchase price of $44.2 million plus contingent consideration of up to $22.6 million based on financial performance over the three years following the acquisition date. The Company has allocated $18.2 million of the purchase price to the net identifiable assets of Martel at the acquisition date and $26.0 million to goodwill. The Company has not yet finalized the purchase equation for this acquisition.

Details of net assets acquired and purchase adjustments made in 2008 are as follows:

	Martel	Other[i]	2008 Total
Net working capital	$ 3,997	$ (998)	**$ 2,999**
Future tax asset – non-current	164	–	**164**
Property and equipment	14,474	(11)	**14,463**
Intangible assets	–	6,312	**6,312**
Goodwill	25,962	(3,742)	**22,220**
Future tax liability – non-current	(356)	(1,444)	**(1,800)**
Other long-term liabilities	–	469	**469**
Total purchase cost	$ 44,241	$ 586	**$ 44,827**

(i) Other includes the impact of the finalization of the purchase equations for La Fornaia and Chevalier in 2008.

2007

(a) On August 17, 2007, the Company acquired La Fornaia Ltd. ("La Fornaia") a leading producer of a range of specialty Italian breads for total consideration of £19.1 million ($40.7 million). During 2008, the Company finalized the purchase price equation allocating £2.6 million ($5.8 million) of the purchase price to the identifiable net assets of La Fornaia at the acquisition date, and £16.5 million ($34.9 million) to goodwill and intangible assets. The acquired intangible assets include £3.0 million ($5.7 million) allocated to customer relationships that are being amortized on a straight-line basis over their useful lives to a maximum of 25 years.

(b) On February 26, 2007, the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $8.4 million. Chevalier is a producer of single-portion snack cake products in Quebec. During 2008, the Company has finalized the purchase equation allocating $6.5 million of the purchase price to the identifiable net tangible assets of Chevalier at the acquisition date, $0.6 million to intangible assets and $1.3 million to goodwill.

Details of net assets acquired and purchase adjustments made in 2007 are as follows:

	La Fornaia	Chevalier	Other[i]	2007 Total
Bank indebtedness acquired	$ (25)	$ (15)	$ –	**$ (40)**
Non-cash working capital	2,349	780	(965)	**2,164**
Property and equipment	5,953	5,827	(1,696)	**10,084**
Other long-term assets	–	148	9,249	**9,397**
Goodwill	32,419	1,787	(4,013)	**30,193**
Future tax liability – non-current	104	(85)	(2,359)	**(2,340)**
Other long-term liabilities	(469)	(221)	–	**(690)**
Retained earnings	–	–	57	**57**
Total purchase price	$ 40,331	$ 8,221	$ 273	**$ 48,825**

(ii) Other includes the impact of the finalization of prior year purchase equations.

20. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $9.3 million (2007: $10.5 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2009	$	17,997
2010		12,660
2011		9,119
2012		7,243
2013		5,633
Thereafter		8,261
	$	60,913

21. SUPPLEMENTAL CASH FLOW INFORMATION

		2008		2007
Net interest paid	**$**	**7,780**	$	5,668
Net income taxes paid		**28,692**		38,668

22. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

		2008		2007
Numerator:				
Earnings available to common shareholders – basic and diluted	**$**	**64,936**	$	83,751
Denominator:				
Weighted average common shares outstanding – basic and diluted (in thousands)		**25,417**		25,417
Earnings per share:				
Basic	**$**	**2.55**	$	3.30
Diluted		**2.55**		3.30

23.SUBSEQUENT EVENT

On February 23, 2009, the Company declared a dividend of $0.06 per share, payable to shareholders of record as of March 10, 2009, on April 1, 2009.

Notes to the Consolidated Financial Statements

24. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	2008	2007
Sales to customers		
Fresh Bakery	**$ 1,094,190**	$ 945,853
Frozen Bakery	**614,140**	567,326
	$ 1,708,330	$ 1,513,179
Earnings from operations before restructuring and other related costs and other income		
Fresh Bakery	**$ 76,529**	$ 88,402
Frozen Bakery	**21,103**	41,052
	$ 97,632	$ 129,454
Capital expenditures		
Fresh Bakery	**$ 24,462**	$ 40,393
Frozen Bakery	**29,708**	45,336
	$ 54,170	$ 85,729
Depreciation and amortization		
Fresh Bakery	**$ 28,563**	$ 25,683
Frozen Bakery	**26,862**	23,929
	$ 55,425	$ 49,612
Total assets		
Fresh Bakery	**$ 440,733**	$ 400,518
Frozen Bakery	**523,843**	573,772
Non-allocated assets	**30,334**	23,892
	$ 994,910	$ 998,182
Goodwill		
Fresh Bakery	**$ 156,268**	$ 131,256
Frozen Bakery	**248,216**	239,810
	$ 404,484	$ 371,066